



## CS-467- Software Project Management

### Lecture No. 11

## ORGANIZATIONAL STRUCTURES AND POLICIES

# List of Topic to be Discuss in this lecture

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- Organizations Structure
- Types of Organizations
  - Functional Organization
  - Projectized Organization
  - Matrix Organizations
    - Strong Matrix
    - Balanced Matrix
    - Weak Matrix

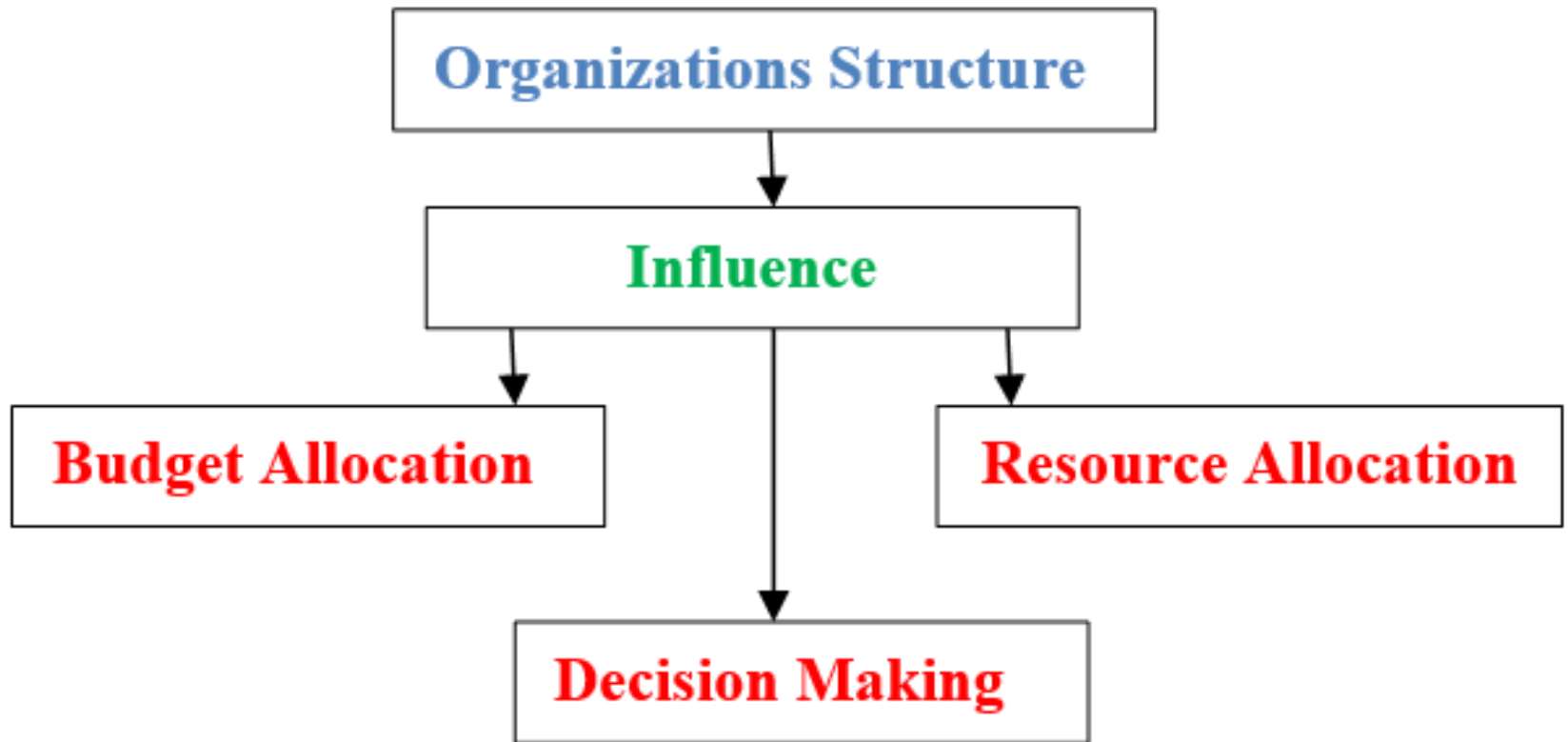
# Organizations Structure:

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- Every organization regardless of its **size** should **operate** with a **clear** organizational structure.
- An organizational structure is a **set of roles, reporting relationships** and **responsibilities** that **outline** how the **activities, tasks** or **projects** of the organization are directed to meet its objectives.
- The structure outlines **how the flow of information** should be conducted across **all levels of the organization** and lays out the reporting relationship among the **staff, management** or **executives** and even the owners.

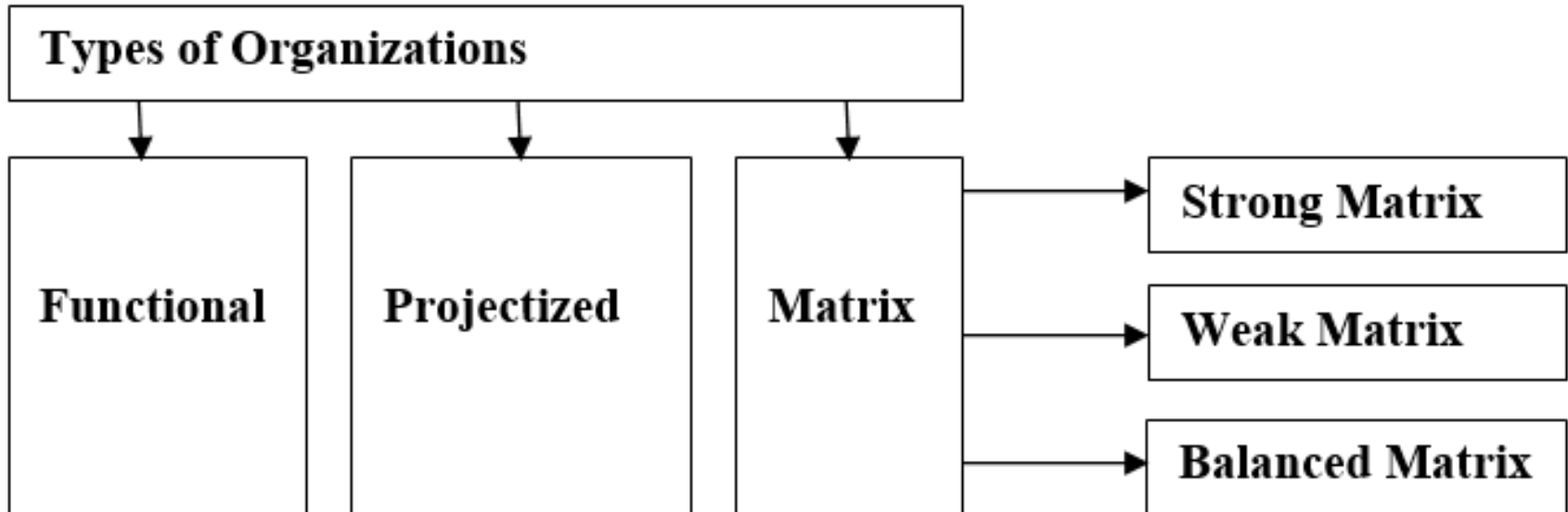
# Organizations Structure:

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# Types of Organizations:

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# Types of Organizations:

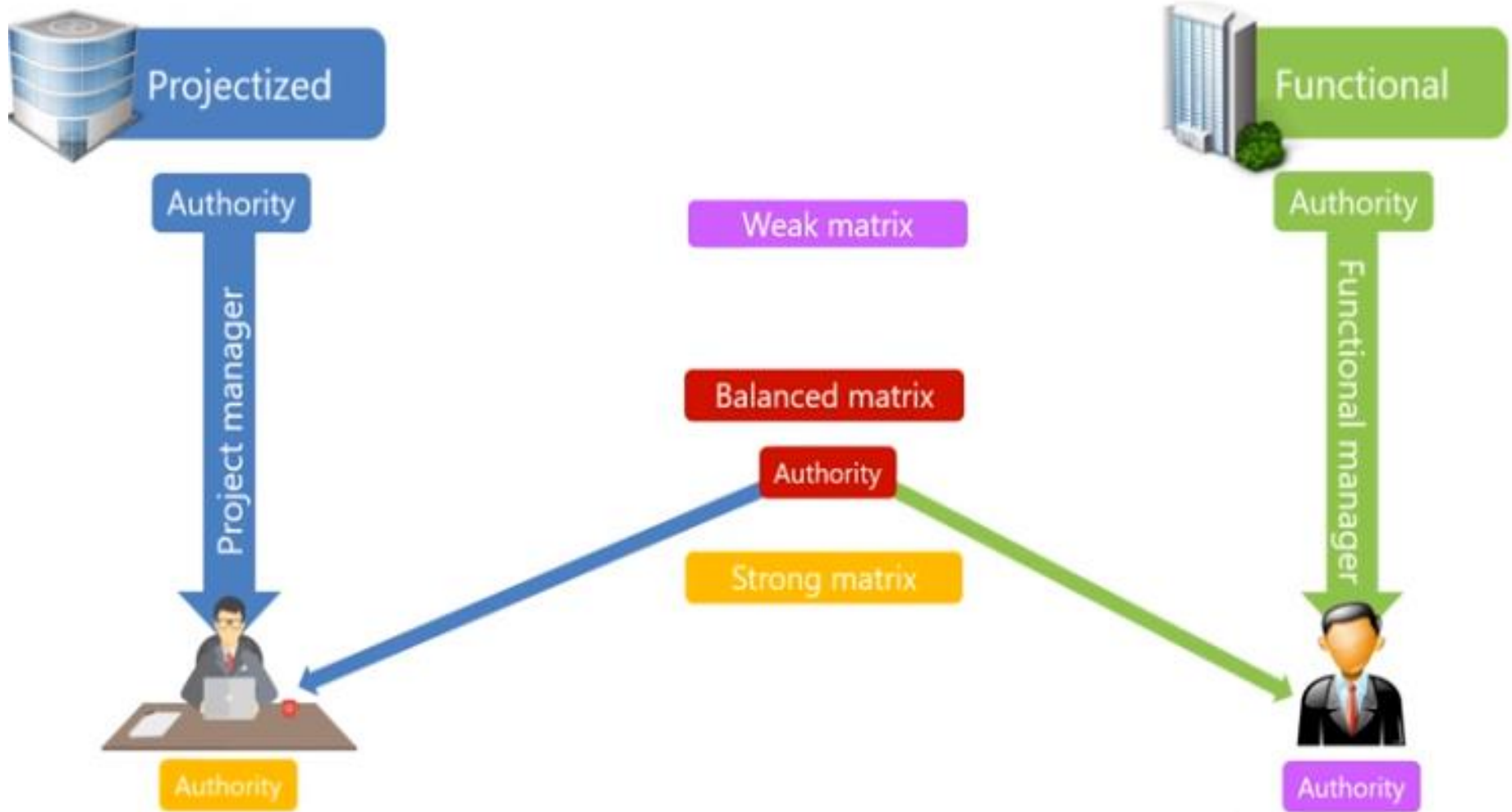
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There are different types of organizations; you got three major options when looking at the kinds of organizations he/she can work for.

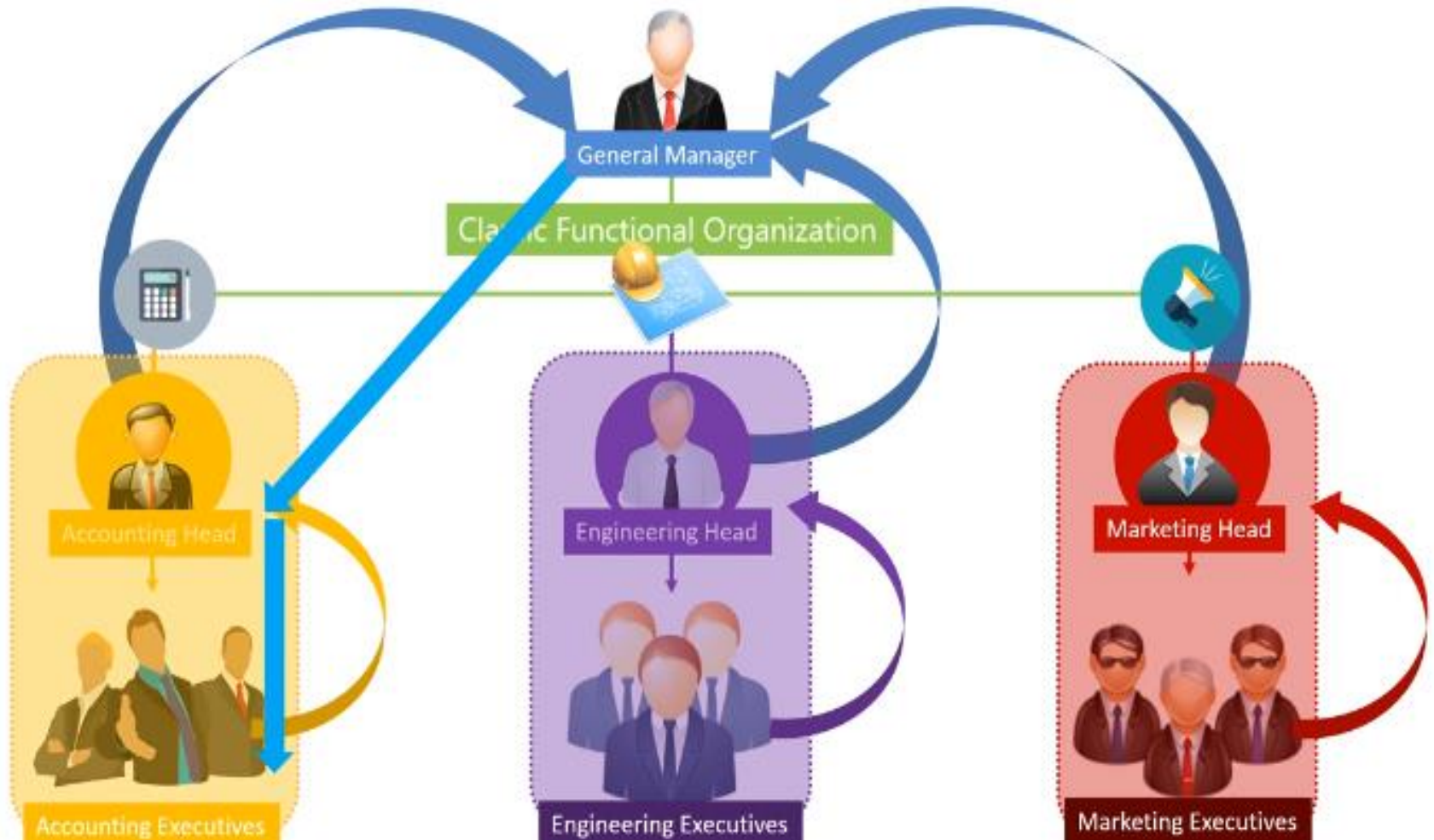
- **Functional:** Assigns the power to the functional manager
- **Projectized:** Assigns the power to the **project manager**
- **Strong Matrix:** Assigns more power to the **project manager** than the functional manager
- **Balanced Matrix:** Assigns equal power to the **project manager** and the functional manager
- **Weak Matrix:** Assigns more power to the **functional manager** than the project manager

# Types of Organizations:

## Project Manager Authority & Organizational Structures



# Typical Example of Functional Organization:



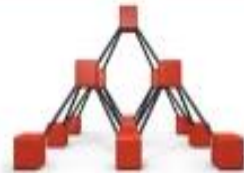
# Functional Organization:

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- Project management decisions need to be cleared with functional managers. (*In this kind of organization, the project team members always report to a functional manager who calls all the shots*)
- Project managers are assistants to the functional managers in getting the work done.
- Project managers spend a lot of time doing administrative tasks and often only work as project manager part of the time.
- You're likely to find project expeditors in functional organizations. (*All of the project work typically happens within a particular department, and that department's manager is completely in charge of everything*)

# Advantages and Disadvantages of Functional Organization

## Advantages



Stable Organizations Structure



Employees have a career growth path with separation of functions



Employees have one supervisor with a clear chain of command

## Disadvantages



Project manager has little to no formal authority



Multiple projects compete for limited resources and priority



Project team members will likely to remain loyal to their functional manager

# Typical Example of Projectized Organization:



# Projectized Organization:

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- Teams are organized around projects. When a project is done, the team is released, and the team members move on to another project.
- The project manager makes all of the decisions about a project's budget, schedule, quality, and resources. (*If you've worked with a contractor or consulting company, they are usually organized like this.*)
- The PM is responsible for the success or failure of the project.

# Advantages and Disadvantages of Projectized Organization

## Advantages



It has Clear line of authority



Strong communication with single reporting system



Flexibility in trade offs, and Fast decision making

## Disadvantages



Authority & power can make project manager arrogant



The work environment can be stressful, because there is always a deadline

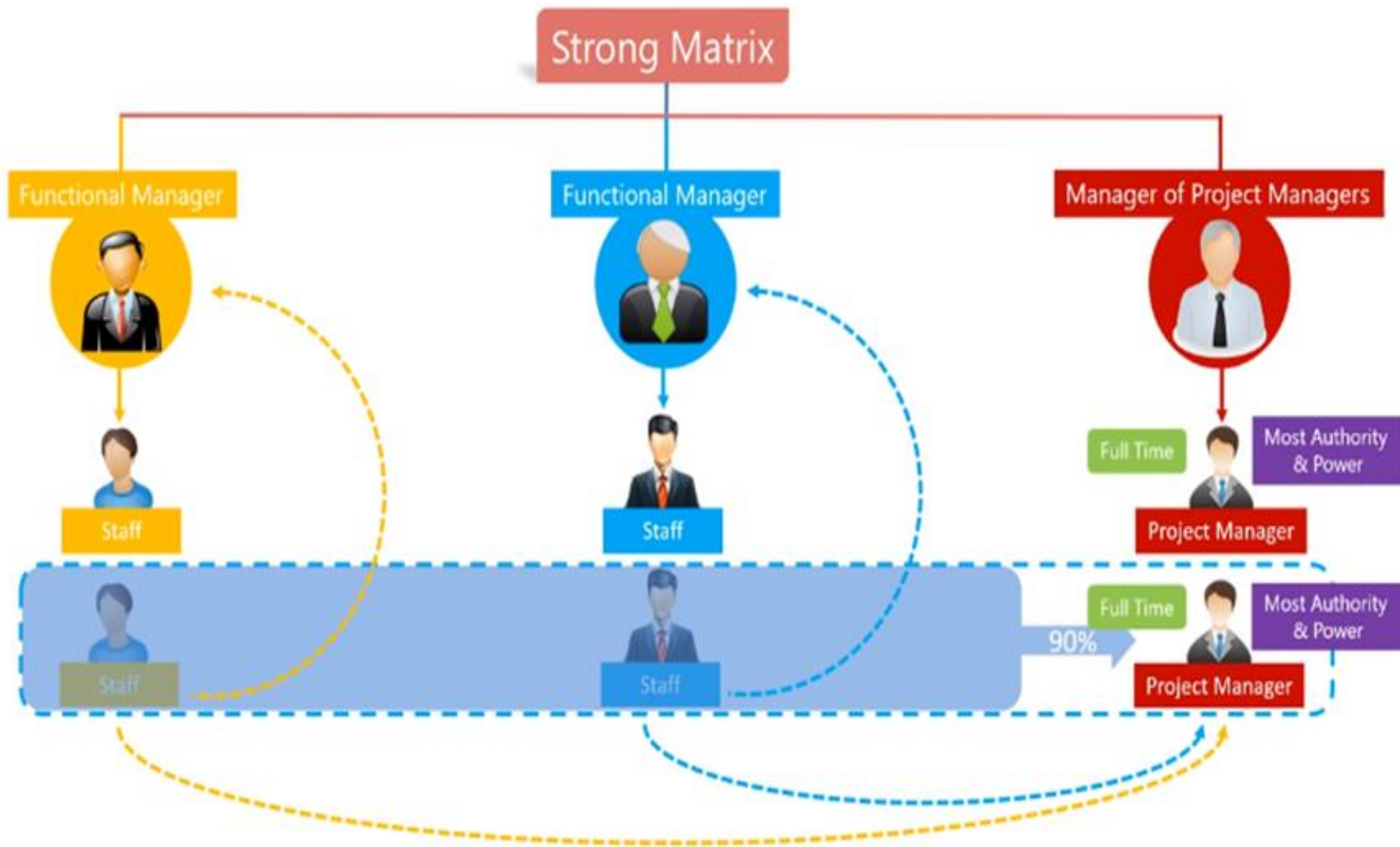


If the project gets elongated, cost of employee and equipment can go higher

# Matrix Organization



# Typical Example of Strong Matrix Organization

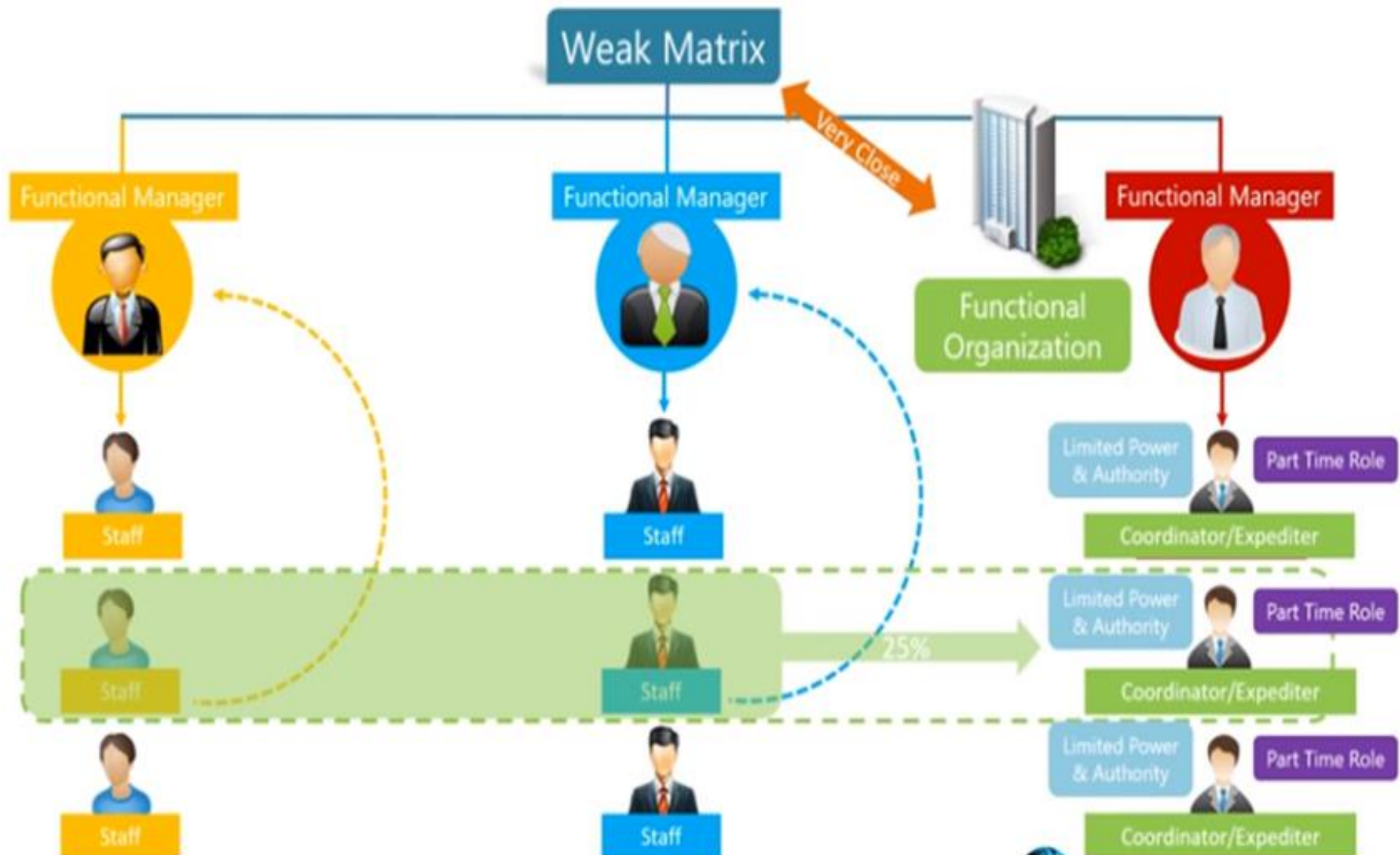


# Strong Matrix Organization

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- Project managers have more authority than functional managers, but the team still reports to both managers.
- The team might be judged based on performance on their projects, as well as on their functional expertise. In a strong matrix, delivery of the project is most important.

# Typical Example of Weak Matrix Organization

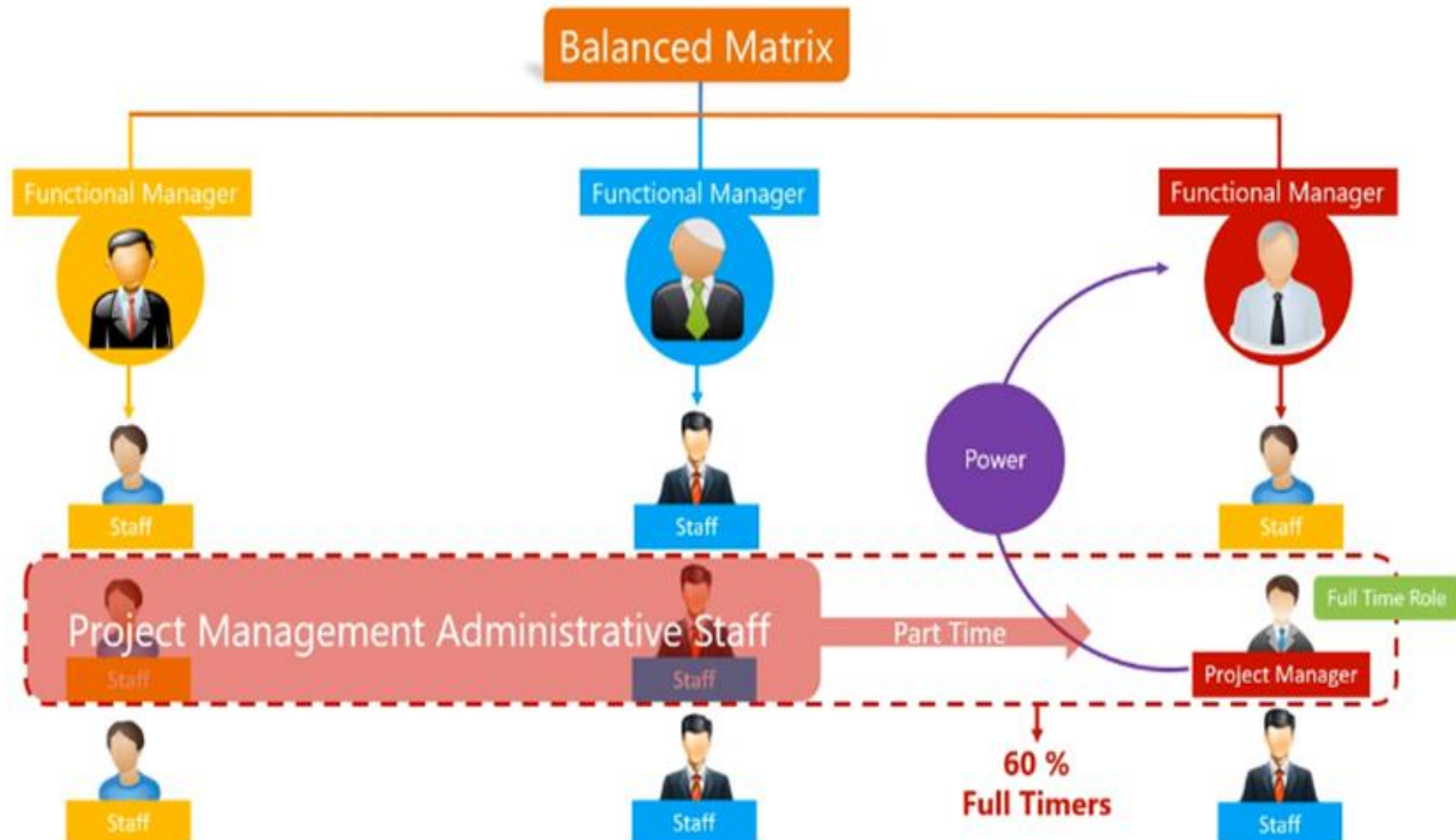


# Weak Matrix Organization

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- PMs have some authority, but they aren't in charge of the resources on a project.
- Major decisions still need to be made with the functional manager's cooperation or approval.
- Project expeditors and project coordinators can work in weak matrix organizations, too. (*Project coordinators are like expeditors, except that coordinators typically report to higher-level managers and have some decision making ability. Expeditors have no authority at all.*)

# Typical Example of Balance Matrix Organization



# Advantages and Disadvantages of Balance Matrix Organization

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- Project managers share authority with the functional managers.
- PMs run their people-management decisions by the functional manager, but the functional manager runs his project decisions by the PM, too. (*Folks who work in a balanced matrix organization report to a project manager AND a functional manager equally.*)

# Advantages and Disadvantages of Matrix Organization

## Advantages



Highly visible project objectives



Improves Project Management control over resources



More support from functional areas



Requires Extra administration



Requires more than one boss for project teams



More complex to monitor and control

## Disadvantages

# Advantages and Disadvantages of Matrix Organization

| <div> <div>Organization Structure</div> <div>Project Characteristics</div> </div> | Functional         | Matrix             |                 |                  | Projectized          |
|-----------------------------------------------------------------------------------|--------------------|--------------------|-----------------|------------------|----------------------|
|                                                                                   |                    | Weak Matrix        | Balanced Matrix | Strong Matrix    |                      |
| Project Manager's Authority                                                       | Little or None     | Limited            | Low to Moderate | Moderate to High | High to Almost Total |
| Resource Availability                                                             | Little or None     | Limited            | Low to Moderate | Moderate to High | High to Almost Total |
| Who controls the project budget                                                   | Functional Manager | Functional Manager | Mixed           | Project Manager  | Project Manager      |
| Project Manager's Role                                                            | Part-time          | Part-time          | Full-time       | Full-time        | Full-time            |
| Project Management Administrative Staff                                           | Part-time          | Part-time          | Part-time       | Full-time        | Full-time            |